

Miner - It is a computer software or a hardware that is designed to calculate the hashes needed for the inception of a new block. The miner also gets a reward in the form of bitcoins and transaction fees for aiding in the creation and the maintenance of the bitcoin blockchain.

Node - Every participant is a node in the bitcoin network, certain client allow you to save a copy of the blockchain on your computer while some don't. Nevertheless, they are both nodes.

Satoshi - The smallest unit of a Bitcoin which amounts to 0.00000001 BTC is called a Satoshi after the creator of Bitcoin i.e., Satoshi Nakamoto.

Transaction Fee - This is a fee that is added voluntarily to any transaction so as to add the transaction to the block. The fee also determines whether a transaction will be added or not since a higher transaction fee gains priority over lower transaction fee. Since it is voluntary it may be added with any transaction but it is the sender who always pays the fee since bitcoin transactions are always one sided. For transactions that are large which means a high addition needs to be done to the blockchain a fee is expected and charged by most online services.

Virgin bitcoin - When a miner generates a block that has never been spent a Virgin bitcoin is produced as a reward. Thus it is the only true anonymous portion of the bitcoin system. All subsequent transactions can be traced back to the virgin bitcoin.

Mining

Anybody can mine bitcoins, there is a lot of material available online which can guide you through your choice of hardware and software. We've gone through some of them to curate all the methods and the time taken to generate bitcoins with each of them. First, we will look at the different hardware that is available in the market for mining bitcoins.

There are different types of hardware available in the market. You can use your ordinary computer [or your super-awesome-rig, whatever you call it] to mine or you can purchase specialised hardware made for mining and nothing else. The hash calculation process is very simple but the sheer volume of calculations is quite taxing on the system. We have four popular options on a broad scale. Along with each hardware type will be a chart detailing different models of each hardware available in the market and the hash rate it offers in MHash/second(higher is better).

1. CPU
2. GPU
3. FPGA
4. ASIC